

[TICKER: SPCX]
[EXCHANGE: NASDAQ / NASDAQ TEXAS]
[STATUS: TRADING ACTIVE]

Unpacking the \$1.77T Conglomerate

A structural and financial teardown of the SpaceX (SPCX)
S-1 Prospectus and the Three-Engine Business Model.

The Raise

\$75.0 Billion gross proceeds (555,555,555 Class A shares). Largest in history, eclipsing Saudi Aramco.

The Pricing Anomaly

Fixed at \$135.00/share. Bypassed the standard floating price range bookbuild due to \$250B+ in institutional demand (3.5x-4x oversubscribed).

Pre-IPO Engineering

5-for-1 stock split executed on May 4, 2026, representing a 61% premium to the \$84.00 post-split equivalent in the December 2025 tender offer.

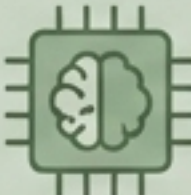
The Day 1 Surge

Opened at \$150.00, peaked at \$176.52, closed at \$160.95.



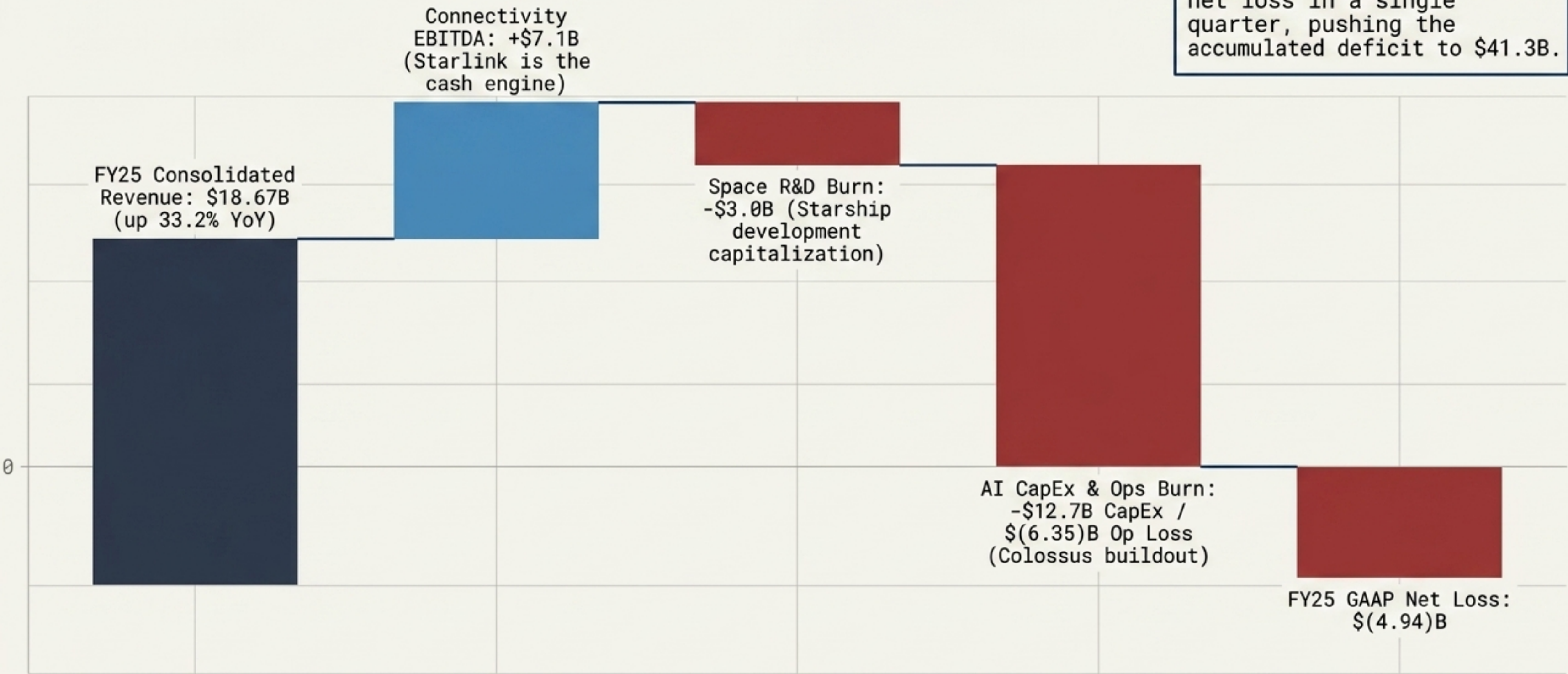
**Day 1 closing market cap:
\$2.11 Trillion**

The Three-Engine Diagnostic Table

 Space (Launch/Logistics)	 Connectivity (Starlink)	 AI (xAI, X, Compute)
FY25 Rev: \$4.08B Adj. EBITDA: \$653M FY25 CapEx: \$3.8B Core Moat: Orbital Launch Monopoly (>80% global mass to orbit) Immediate Risk: Starship V3 Execution	FY25 Rev: \$11.38B Adj. EBITDA: \$7.16B FY25 CapEx: \$4.17B Core Moat: Global LEO Telecom Infrastructure Immediate Risk: ARPU Compression	FY25 Rev: \$3.20B Adj. EBITDA: \$(1.23)B FY25 CapEx: \$12.7B Core Moat: 1.0 GW Compute Infrastructure Immediate Risk: Hyperscaler CapEx Burn Rate

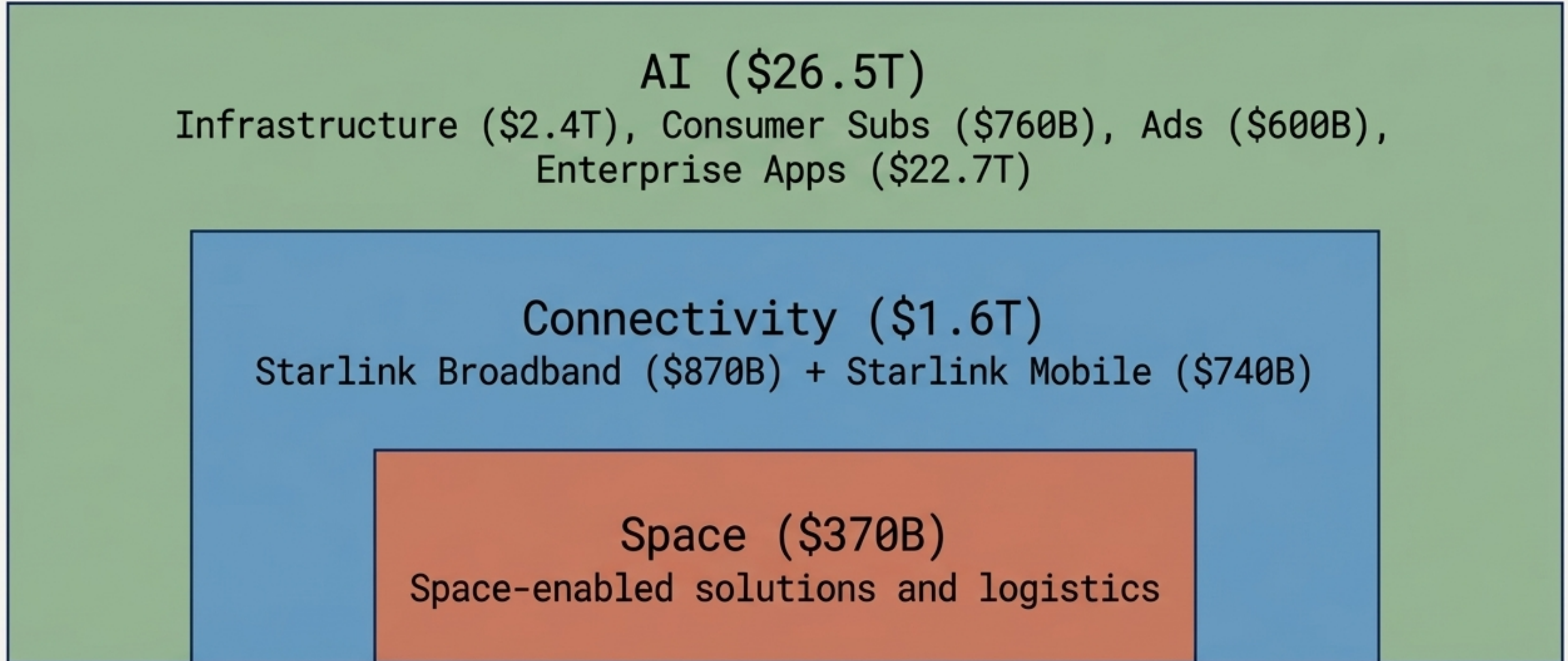
The Profit/Loss Waterfall

Telemetry Callout:
Q1 2026 accelerated the burn with a \$(4.28)B GAAP net loss in a single quarter, pushing the accumulated deficit to \$41.3B.



The TAM Layer Cake

Issuer's Total Addressable Market: \$28.5 Trillion



HUD Note: Issuer estimates exclude China and Russia.

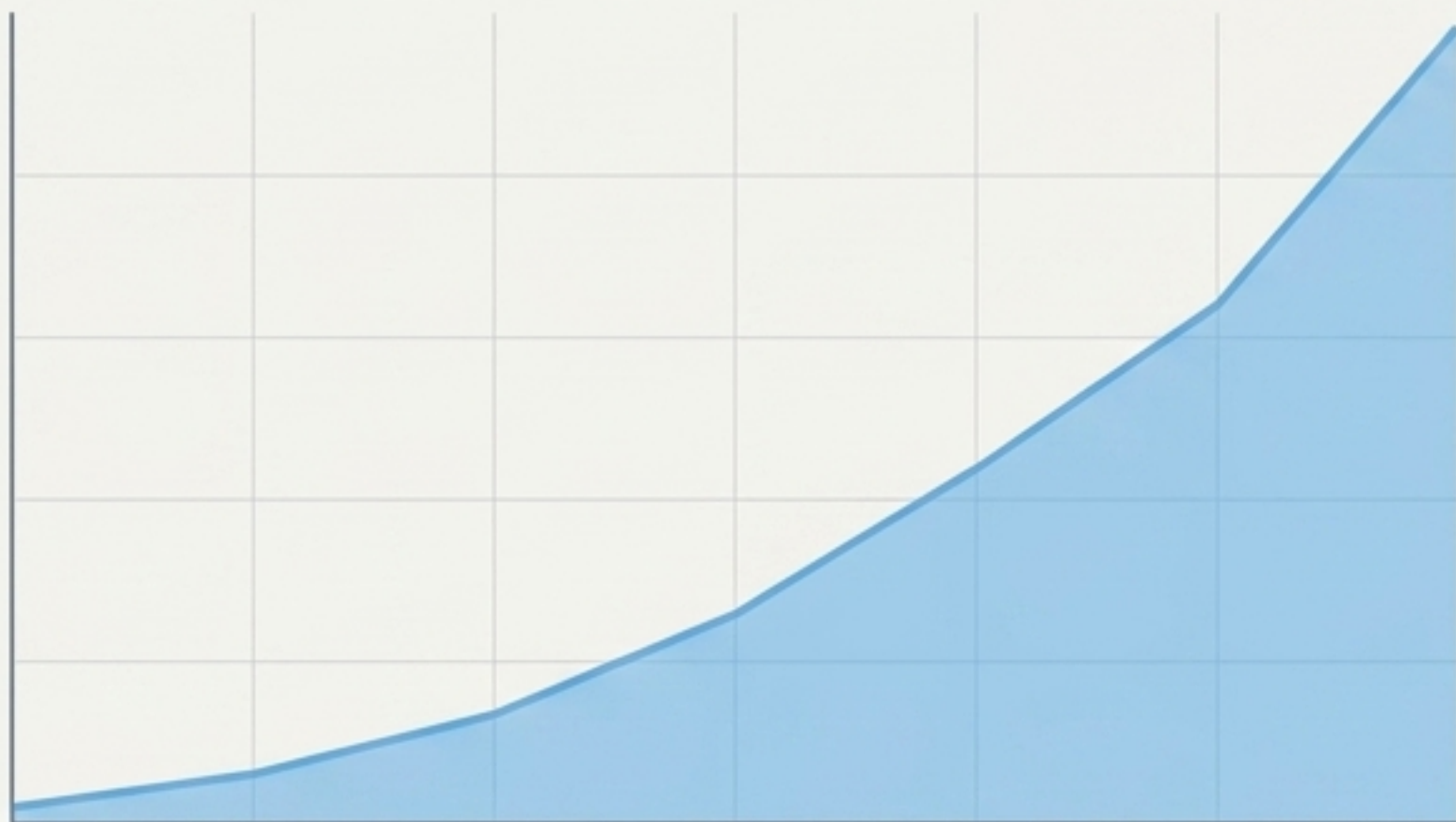
Engine 1: Starlink

Growth Dynamics

10.3M subscribers across 164 countries.

9,600 LEO satellites (~75% of active maneuverable satellites).

FY25 Operating Margin: 39%.

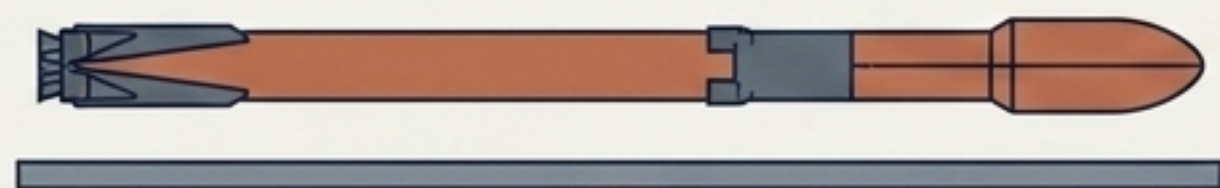


The ARPU Paradox



Strategic Callout: ARPU compression is a deliberate strategy for scale in lower-income geographies. A recent \$10/month price hike was implemented right before the IPO to stabilize margins.

Engine 2: Space Logistics

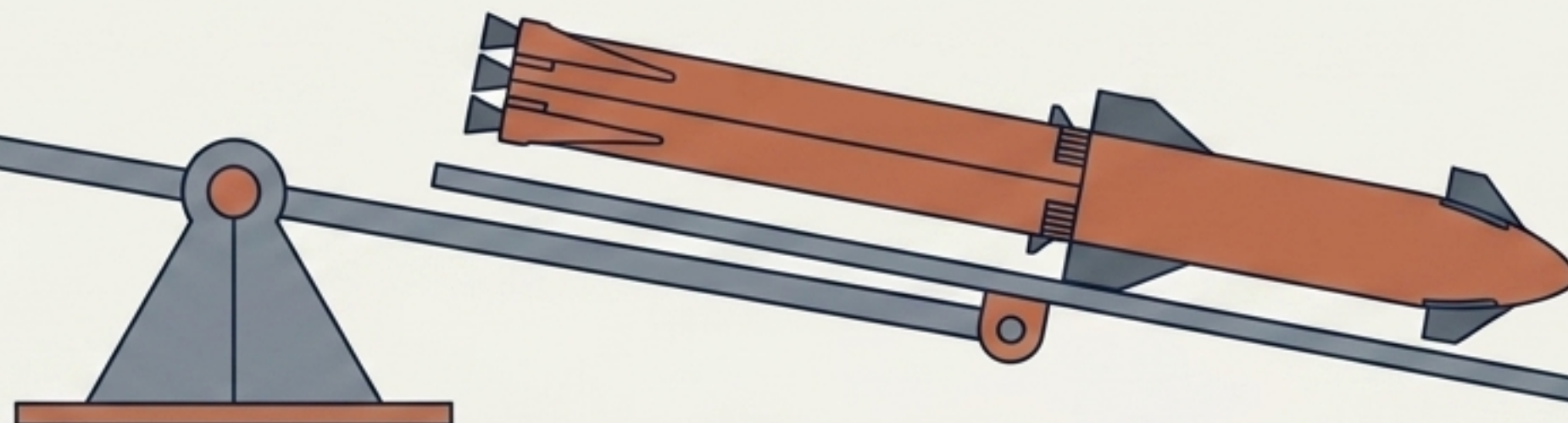


The Profit Core

Falcon 9 gross margins at 67%.

Over 650 orbital launches
(170 in 2025 alone).

Unrivaled monopoly.

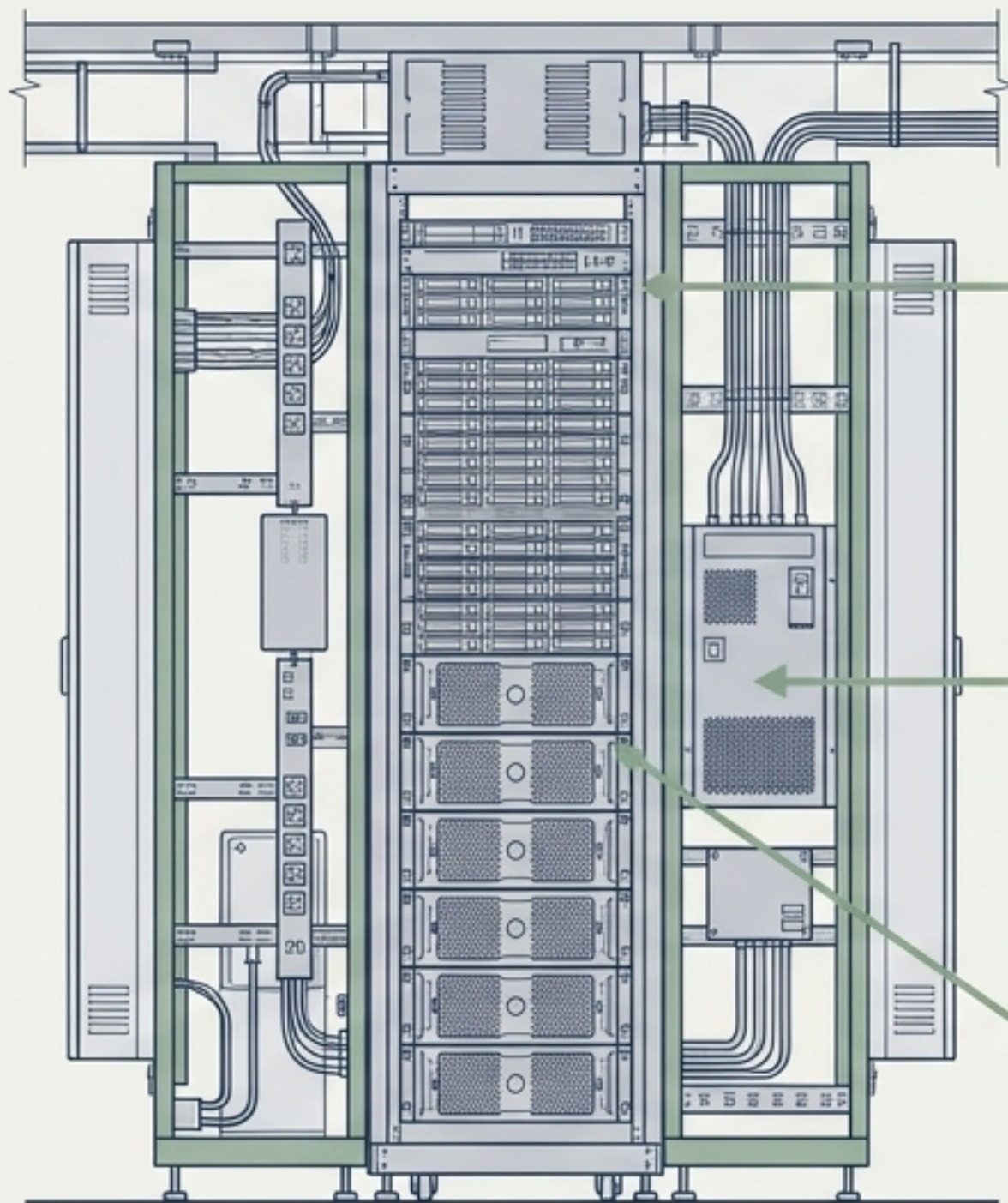


The Capital Drain

Segment posted \$(657)M
operating loss in 2025
entirely due to \$3.0B in
non-reimbursed Starship R&D.

HUD Insight: SpaceX is its own biggest customer. Out of 170 launches in 2025, 122 were internal Starlink deployments, not paying third-party customers.

Engine 3: AI Compute Infrastructure



The Buildout:
Colossus I and II
clusters in
Memphis/Southaven.

Power Draw:
1.0 Gigawatt of
compute power
online.

Velocity: Built
in ~90-120 days
(industry
benchmark: 2
years).

The Cost

\$12.7B CapEx in FY25.

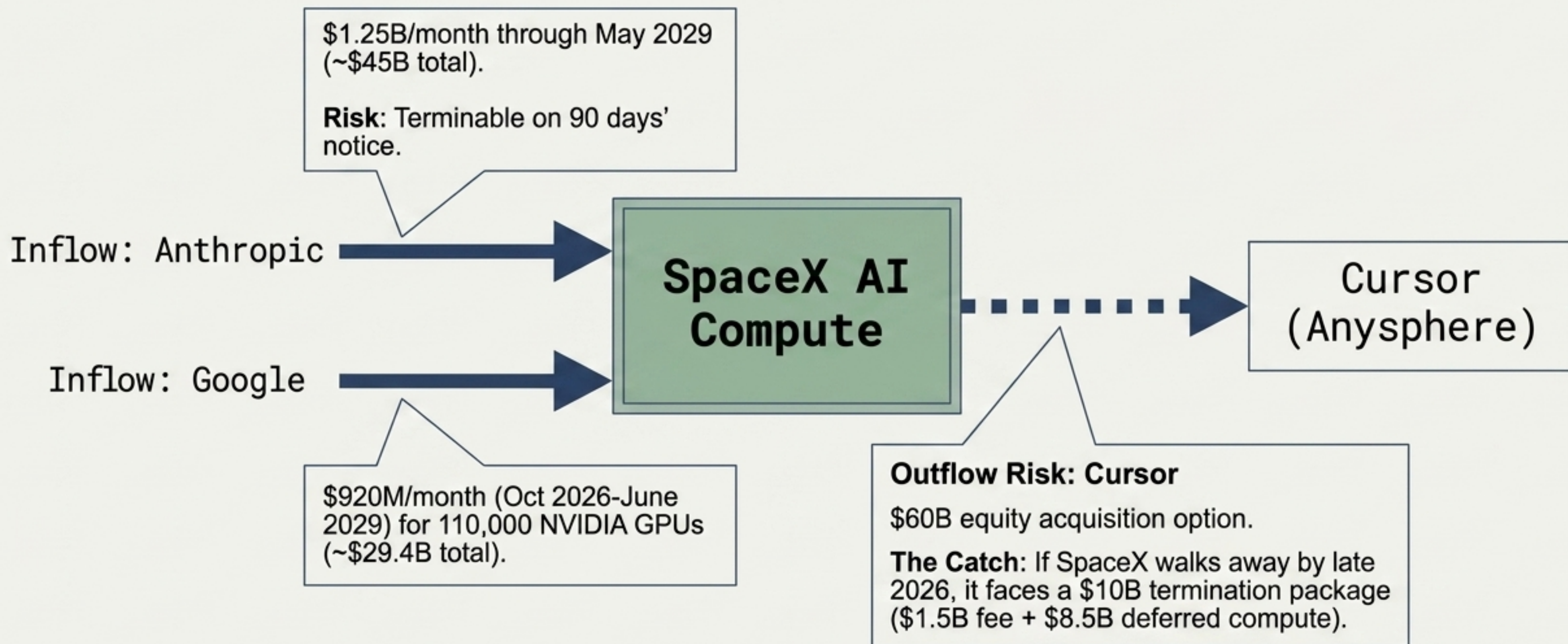
\$7.72B Q1 2026 AI CapEx
alone (annualizing to ~\$30B).

The Liquidity Squeeze

Cash fell from \$24.7B to
\$15.9B in Q1 2026.

Required a \$20B bridge loan
led by Goldman Sachs to
maintain working capital.

The Compute Contract Ecosystem



The Aha Moment: The Inverse Hyperscale Paradigm

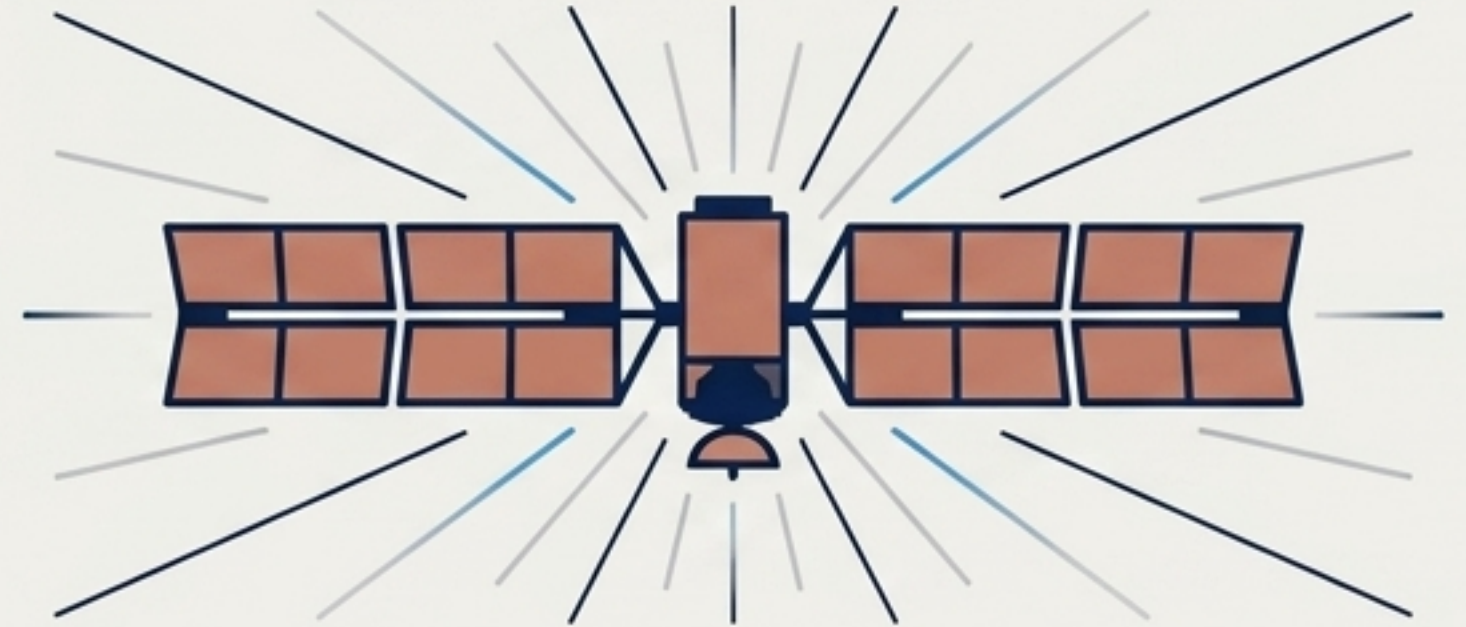
The Terrestrial Bottleneck



U.S. power grid growth is <3%.

AI compute demands are outstripping terrestrial energy and cooling capacity.

The Orbital Solution (2028 Target)

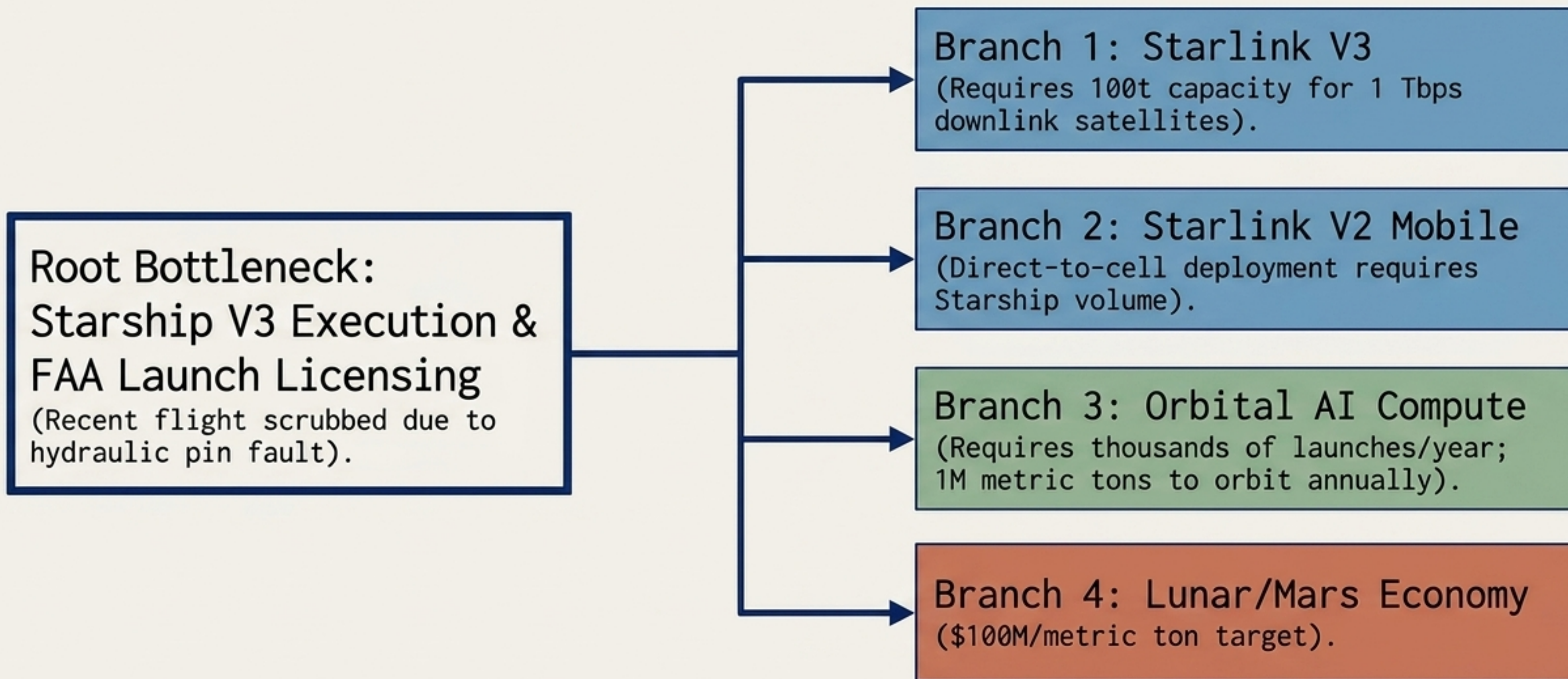


Launching Solar-Powered AI Compute Satellites.

The Physics Advantage: Unfiltered solar energy yields >5x terrestrial efficiency. Deep space provides infinite radiative cooling.

The Inverse Paradigm: Traditionally, AI startups pay cloud providers. Now, **Google** and **Anthropic** are paying a space company for hyperscale compute infrastructure.

The Starship Dependency Tree



The Governance Scales

Equity: ~42%

Voting Power: 82.4%

The Mechanism

Class B common stock holds 10-to-1 voting rights over Class A public shares.

The Result

'Controlled Company' exemption on Nasdaq.
Exemption from independent board/compensation committees.
Unilateral authority to elect the board and approve M&A.

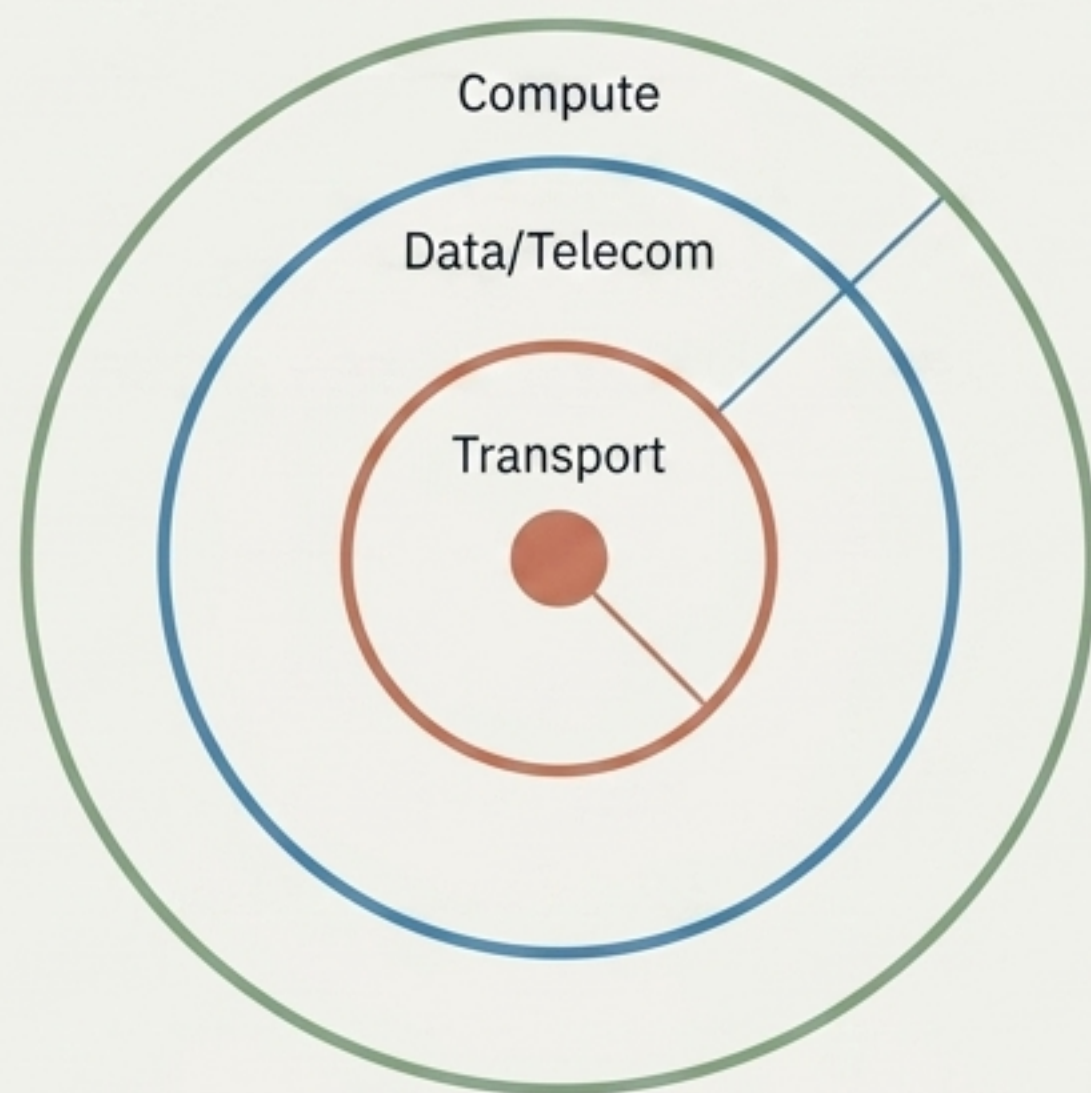
Market Protection

Musk's shares are subject to a rigid 366-day lock-up agreement, delaying the primary insider supply shock to late 2027.

The \$1.77T Institutional Debate

	The Bull Case	The Bear Case
Valuation Multiple	112x trailing P/S is justified by 120% YoY Starlink Op Income growth and near-zero marginal costs.	CFRA (\$115 PT) and Morningstar (\$780B fair value) flag the multiple as pricing in decades of flawless execution.
AI Infrastructure	\$74B+ contracted backlog secures early cash flow for the 1.0 GW Colossus buildout.	Anthropic's 90-day out clause creates extreme counterparty VC risk. The \$10B Cursor walkaway cliff threatens 13% of IPO liquidity.
Execution	Proven ability to monopolize markets (Launch, LEO Broadband).	Orbital AI compute relies on "technologies that do not currently exist." \$29B debt load leaves no room for Starship failure.

The Multi-Planetary Tech Stack



The SpaceX IPO is a high-stakes, capital-intensive bet on vertical integration. The \$2.11T day-one valuation demands that Starship solves the logistics bottleneck, Starlink funds the terrestrial burn, and Colossus transforms the company into the dominant supplier of both Earth-based and Orbital AI compute.